APPLICATION OF THE RESOURC-BASED VIEW (RBV) FRAMEWORK

Case: Harley-Davidson (Grant Textbook)

Session 8

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Agenda for today

1. History and Data about HD

2. What is HD Strategy?

- WHERE is the firm competing (**Corporate Strategy**)
  - The industry; The market segments; The geographical scope
- HOW is the firm competing (**Business Strategy**)
  - Competitive advantage

3. Resources & Capabilities

- Map of the Resources and Capabilities (strengths and weaknesses)
- Are Resources & Capabilities sustainable (VRIO analysis)

4. Potential threats and opportunities

Some data (2017)

- Word industry = 132 million bikes per year. 0,25% of world´s market share. *80% of word´s market share is in USA and HD has little presence in Asia.*
- Most valuable Brand. World wide nº 77. Estimative worth of 5,7 billion$
- 115th birthday company.
- Very High customer loyalty → "*It isn´t a motorcycle – It is a way of life!*"
- ROE → 27% aprox.
- PAY OUT Ratio for dividends to shareholders → 13% aprox.
- Segment Leader → Heavyweight motorcycles.
- Top of mind brand for motorcycles.
- Aprox. 50% market share of heavyweight motorcycles in US.

Harley Davidson overview

One of the world's most known motorcycle production companies.

About the firm

- Founded in 1903 by William Harley and the three Davidson brothers. In 1909, the company introduced its first-ever engine.



Milwaukee, Wisconsin, U.S.A
Harley Davidson Headquarters



241k
Bikes sold in 2017



11.2M
Bikes sold in 2017

0.25%
Market share

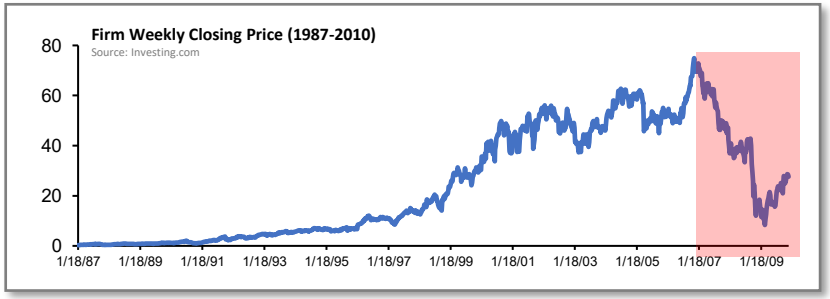
The success

77th most valuable brand
(Interbrand rankings)

27% Average ROE
(since listing on NYSE in 1986)

11x Revenue Growth
(since listing on NYSE in 1986)

12.8% Average AAR
(since listing on NYSE in 1986)



Source(s): Robert M. Grant Case Study, Investing.com
Note(s):

Harley Davidson overview

Subtitle: Sum

About the firm

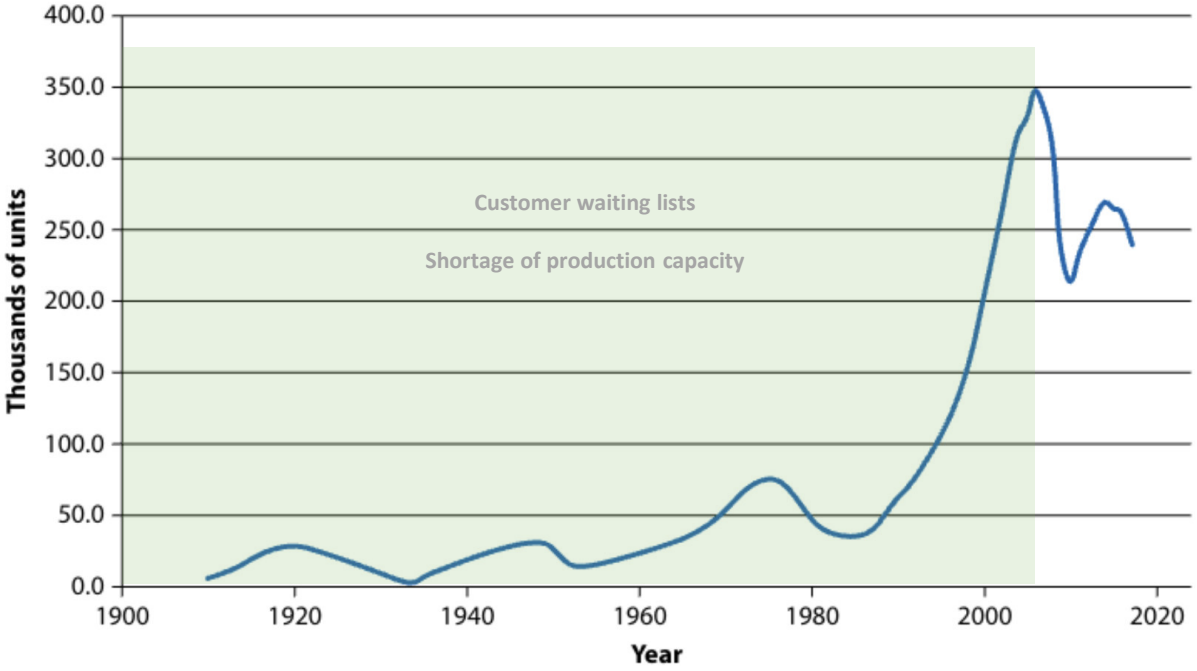
- Founded in 1 brothers. In 1

241k
Bikes sold in 2017

Source(s):
Note(s):

Annual shipments of motorcycles by Harley-Davidson

Source: Robert M. Grant Case Study



Progress from birth to maturity to present

The company faces several different issues which harm its financial stability.

Headwinds and setbacks

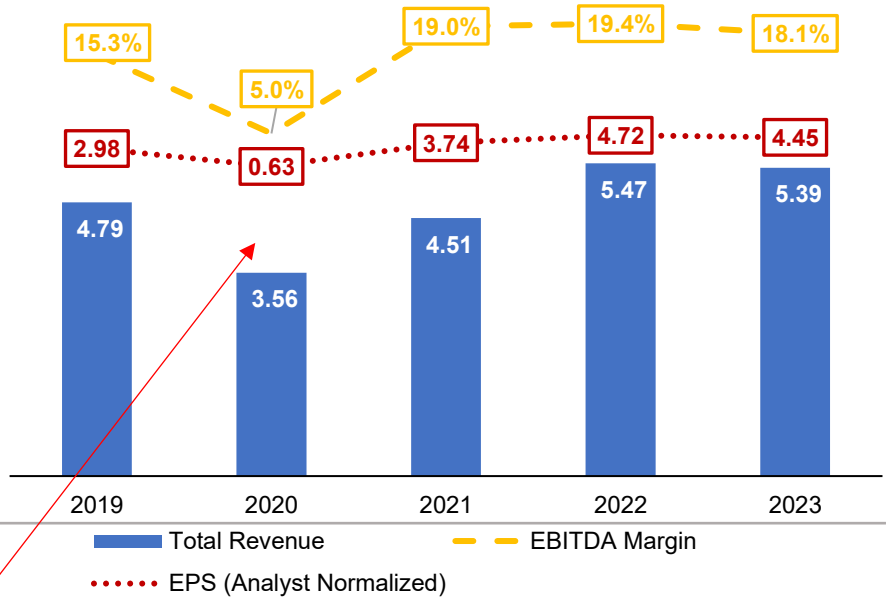
- Since 2008, the company had experienced several setbacks, which impacted the company financially.
- One of the key events was the GFC in 2008, and it resulted in **plummeting sales**, **excess inventory**, **bad debts**.
- 2014 saw a decline in performance too, and so did 2018, for a variety of reasons:

1. **Shrinkage of motorcycle markets** in NAM and Europe
2. HD with **highest average MSRP** of any other manufacturer
3. EU imposition of **25% tariff on imports** of U.S. motorcycles
4. Initiation of **trade war** between U.S.A. and China

MSRP: Manufacturer's Suggested Retail Price

Recent performance

- The firm saw **lagging growth** in 2020 due to COVID-19.
- Revenue growth, EBITDA margin, and EPS remained relatively stable, with YoY improvements, with a minor stunt in FY23.



lagging growth in 2020 due to COVID-19

Source(s): Robert M. Grant Case Study, Harley Davidson Annual Financial Reports.
Note(s): EBITDA refers to analyst normalized EBITDA.

Where is Harley Davidson competing?

Market Segmentation of the brand

Demographic Segments

- **Sensitive Pragmatists** (29%) blue-collar workers
- **Laid Back Campers** (24%) in touch with nature
- **Cool-Headed Loners** (17%) higher income "white collar" individuals
- **Adventure-Loving Traditionalists** (10%) independence, freedom and adventure
- **Classy Capitalists** (8%) Rich Urban Bikers
- **Cocky Misfits** (7%) 'bad guy" and the "wild man."
- **Stylish Status Seekers** (5%) young, stylish and elitist

Categories

- Competing on a **global scale**, Harley Davidson's main focus is on heavyweight motorcycles, specifically in three segments: **Cruiser** motorcycles, **Touring** motorcycles, and **Performance** motorcycles.

Geographic Segments

- Their core market is in the **US and Canada**
- They have a smaller market in Europe
- Smaller presence in Asia and Latin America
- **Emerging markets** in India, Japan, and Brazil

Potential New Segments

- They could launch **lightweight electric motorcycles** for eco-conscious and urban commuters
- Off Road motorcycle market competing with companies like KTM or Honda
- **Tailor offerings to women** (lightweight and lower seated motorcycles, woman events and riding programs, adjustments to bikes to make the riding experience for woman more comfortable)

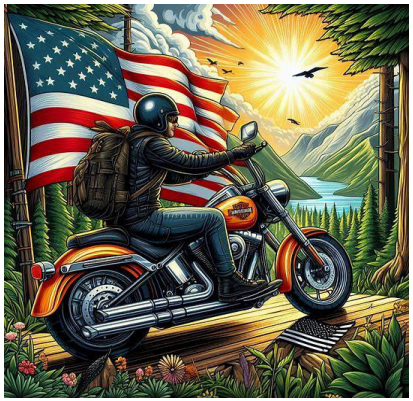
Source(s):
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Differentiation to competitors

What makes Harley Davidson different from its competition?

- **Brand Heritage**
- **Community**
- **Customer Loyalty**
- **Customization of Products**





Source(s):
Note(s):

History (1/3)

- **1903** **Foundation of the brand** by William Harley and the three Davidson brothers: William, Arthur, and Walter.
  - After the Second World War, the demand for motorcycles boomed
- **1969** **Crisis** Harley was acquired by the leisure conglomerate AMF in 1969: sales declined, and financial losses increased
- **1981 – 2008** **Rebirth**:
  - Looked at Japanese production firms to adopt processes and quality management
  - Harley was growing sales to its peak of 362k motorcycles a year in 2006

History (2/3)

- **2008-2014 Downturn and Readjustment:**
  - **Financial crisis of 2008 hit HD hard**: Harley faced downturn sales, excess inventory, and bad debts (customers defaulting their loans, while HDFS had to retain the loans on their own books)
  - **2009 New CEO Keith Wandell took over** and made a plan to bring HD back on its old track by:
    - Restructuring manufacturing operations (selling and closing subsidiaries)
    - Expanding international sales
    - Expanding the customer base to other target groups

History (3/3)

- **2015 – Now → New CEO + 10 years strategy:**
  - Facing declining sales, stronger foreign competition and a rising US dollar
  - Main goal: "Building the Next Generation of Harley Davidson Riders Globally."
    - Growing 2 million new riders in the US
    - Increasing foreign sales to 50% of revenue
    - Developing new more attractive models, including an electric motorcycle

The heavyweight motorcycle market

Heavy weight segments:

- **Cruiser** → "big, noisy, unapologetically macho cycles" typical low rider, styling> comfort, + Speed, HD dominated
- **Touring** → long distance, comfort, HD segment leader, BMW & Honda producing better quality.
- **Performance bikes** → speed & racing, makes up dominated by the Japanese and European.

- Harley is mainly focused on super heavyweight motorcycles (over 850ccm)

Market of Heavyweight Motorcycle

1990-2008 Stagnating in the US between market

2008-2017 Strong decline until 2017

HD dominated the US, Brazilian and Australian markets but lags behind in all others

Brand

Harley Davidson has a very well-known image where customers tend to be loyal making them considered to be their greatest asset. They have built more of a lifestyle brand for bikers or even a "quasi religion".

They don't only sell motorcycles they sell the experience and the lifestyle that comes along being part of the Harley Davidson family.

> ***"The only motorcycle manufacturer***
> ***That makes big, loud motorcycles***
> ***For macho guys (and "macho wannabes")***
> ***Mostly in the United States***
> ***Who want to join a gang of cowboys***
> ***In an era of decreasing personal freedom."***
>
> **– Harley Davidson's internal positioning statement**

Customers and Customer Relations



Harley Davidson focuses on making the experience match the brand image. Harley has a group (Harley Davidson Group) that organizes social events to keep a link between employees and riders, making them more like family. This would lead to loyalty and reinvesting in Harley products.

This lead to Harley Davidson widening their customer base from youngsters to middle-aged and upper-income buyers and now the average age of customers is 50.

Distribution

- Improving their distribution was key to their resurgence in the 80's & 90's

→ **Dealers**:

- played a crucial role in delivering the Harvey experience and selling the lifestyle
- were obliged to carry a full line of Harley products and to offer services that extended from the basic to include test ride facilities, rider instruction classes, motorcycle rental, consulting for customization, insurance services, and vacation packages.
- Over 90% of Harley dealerships in the United States were exclusive.
- Harley-Davidson University was established to improve dealerships
- Expanding international sales required Harley to extend its dealer network into countries where it had little or no distribution presence..

Other Products and Services

- Sales of parts
- Accessories
- Merchandise (clothing and collectibles)
- Financial services

Manufacturing

- **Low production volumes**.
- Compared to competitors as Honda and others, has put it at a significant **cost disadvantage**.
- Harley's capacity for efficiency was also limited by its **dispersed manufacturing operations** which caused it to **merge of its powertrain plants into one**. This caused conflict with Harley's labor unions.

Competition

- **A lot of competition** in its international market, especially from: Honda, Suzuki, Yamaha, and Kawasaki, and domestic competition as well.
  - They have been offering V-twin cruisers styled closely along the lines of the classic Harleys, but at lower prices and with more advanced technologies as significantly higher engine sizes.
- Competitors being more diversified and thus enjoying higher economies of scale, bulk buying and technological opportunities.

The Future

- Intention to expand internationally: new assembly plants (Thailand) and new dealerships.
- In order to **increase its rider base**: new models (electric) and increased investment (new technology, products and infrastructure) to assure leadership in the developing market.

- *"It's searching for a middle ground, one that will let it reach into the future without letting go of the past. If there is such a path, it must be pretty narrow." (Boomberg quote)*

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2. What is HD Strategy?

- WHERE is the firm competing (**Corporate Strategy**)
  - The industry; The market segments; The geographical scope
- HOW is the firm competing (**Business Strategy**)
  - Competitive advantage

3. Resources & Capabilities

- Map of the Resources and capabilities (strengths and weaknesses)
- Are Resources & Capabilities sustainable (VRIO analysis)

4. Potential threats and opportunities

What has been HD's strategy? How does it try to establish competitive advantage?

Harley´s strategy can be described in terms of:

1. **WHERE** is the firm competing (*corporate*)
   - The **industry** in which it competes
   - The market **segments** it serves
   - The **geographical** scope

Corporate Strategy

2. **HOW** is the firm competing (*competitive*)
   - How does it try to establish a **competitive advantage**

Business Competitive Strategy

Industry

Corporate Strategy

- What industry is HD competing in?
  - SIC Code 3751 Motorcycles. Bicycles. and Parts



Categories

- What is the Market segment it serves?

Compete with another brand → BUELL Motorcycles (1993 to 2010)

CRUISER



SPORT



STANDARD



TOURING



???

DUAL sport



DIRT



GEOGRAPHICAL SCOPE

Corporate Strategy

Mainly North America but growing well in other parts of the world

TABLE 1 Retail sales of heavyweight motorcycles (651+ cc), 2003–2011 (thousands of units)

	2003	2004	2005	2006	2007	2008	2009	2010	2011
North America (total)	495	531	554	579	555	477	304	260	271
Harley-Davidson	238	256	265	282	267	235	174	154	162[a]
Market share (%)	48.1	48.2	47.8	48.6	48.7	49.3	53.2	54.9	55.7
Europe (total)	323	336	351	377	372	384	314	301	293
Harley-Davidson[b]	26	25	30	34	42	45	40	41	44
Market share (%)	8.1	7.3	8.5	9.1	11.3	11.7	12	12.7	13.7
Asia-Pacific									
Harley-Davidson	15	10	11	13	23	25	23	21	21[c]
Latin America									
Harley Davidson	n.a.	n.a.	n.a.	n.a.	3	8	6	6	7

Notes:

[a]Of which, US 151,683; Canada 10,502.

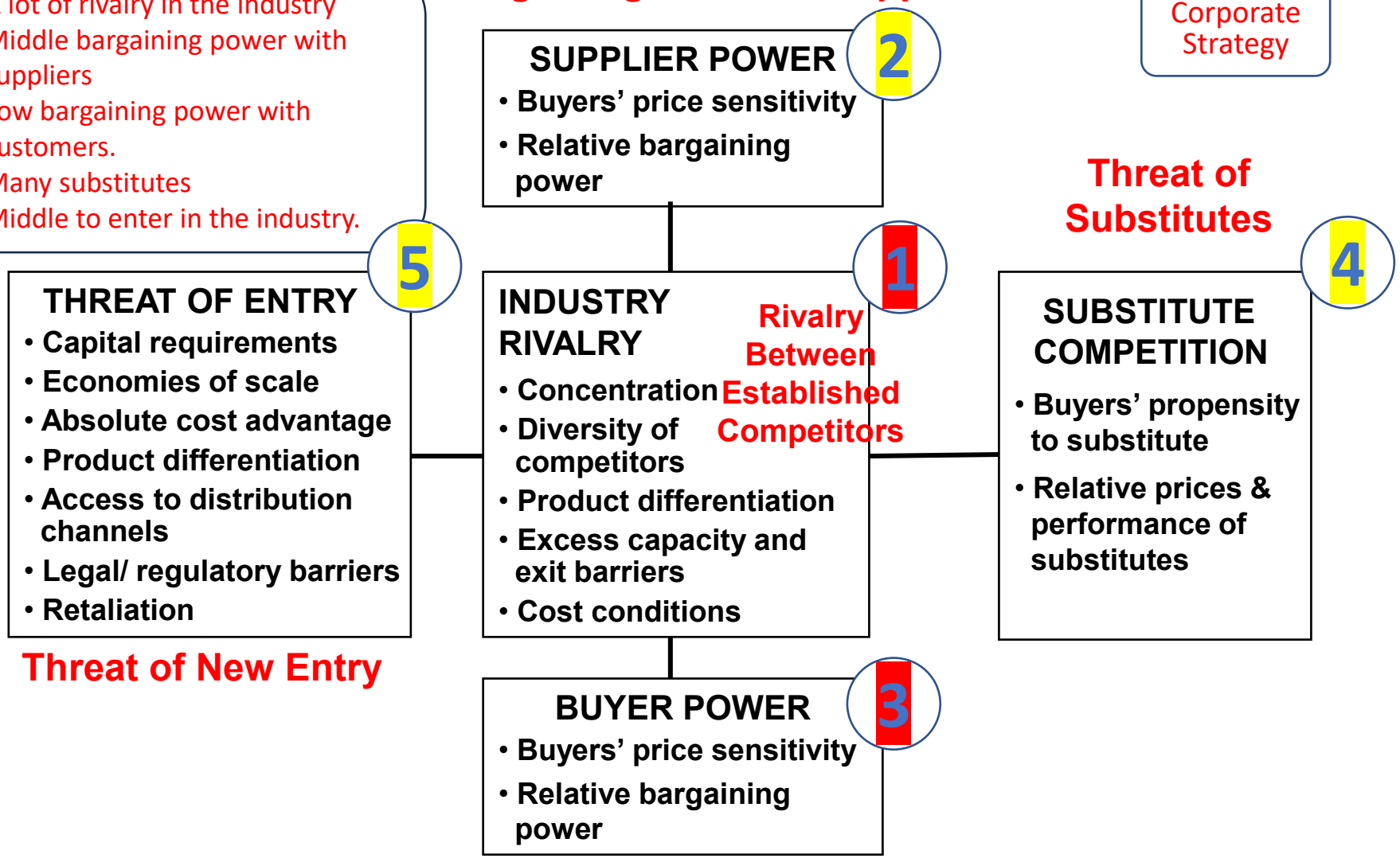
[b]Includes Middle East and Africa.

[c]Of which Japan 11,015.

Source: Harley-Davidson 10-K reports.

Motorbike Industry

1. A lot of rivalry in the industry
2. Middle bargaining power with suppliers
3. Low bargaining power with customers.
4. Many substitutes
5. Middle to enter in the industry.



Harley Davidson

1. Difficult to imitate HD in the segment.
2. Middle bargaining power with suppliers
3. High bargaining power with customers. Loyal customers
4. Increasing substitutes.
5. Difficult to enter in the HD segment.

Corporate Strategy

Bargaining Power of Suppliers

SUPPLIER POWER 2
- Buyers' price sensitivity
- Relative bargaining power

Threat of Substitutes 4

SUBSTITUTE COMPETITION
- Buyers' propensity to substitute
- Relative prices & performance of substitutes

THREAT OF ENTRY 5
- Capital requirements
- Economies of scale
- Absolute cost advantage
- Product differentiation
- Access to distribution channels
- Legal/ regulatory barriers
- Retaliation

Threat of New Entry

INDUSTRY RIVALRY 1
Rivalry Between Established Competitors
- Concentration
- Diversity of competitors
- Product differentiation
- Excess capacity and exit barriers
- Cost conditions

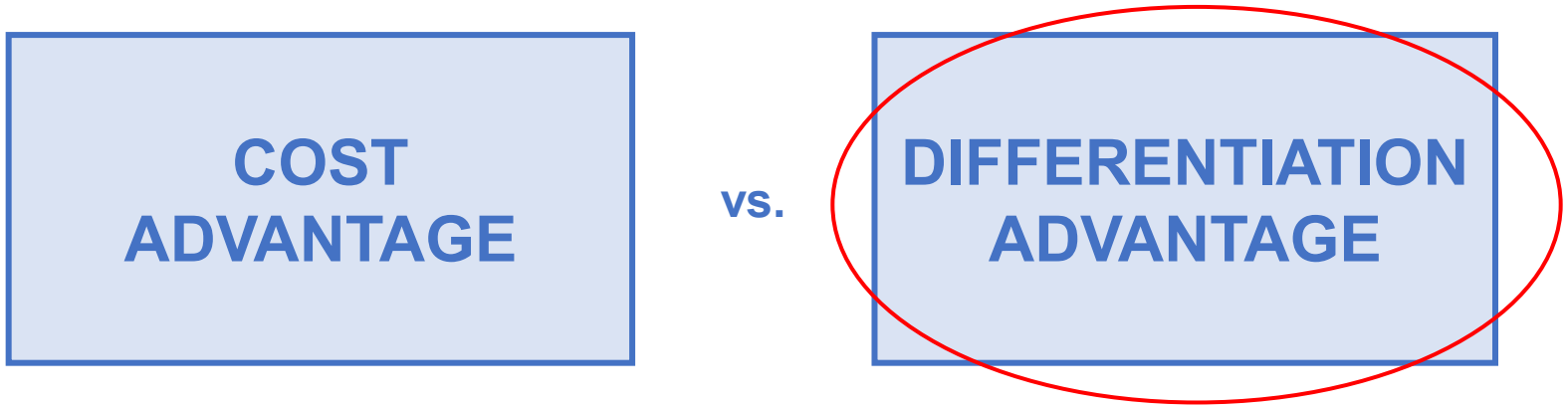
BUYER POWER 3
- Buyers' price sensitivity
- Relative bargaining power

Bargaining Power of Buyers

How is HD competing?

Business Strategy

- In terms of how HD competes, Harley's competitive strategy is distinguished by a clear focus on differentiation



Competitive Business Strategy

Business Strategy

- How does HD differentiate?
  - Design
  - Customer support
  - HOG (Harley Owners Group) activities
  - **Selling an experience**
    - Selling a lifestyle
    - Selling a sense of community
    - Selling authenticity

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Resources & Capabilities

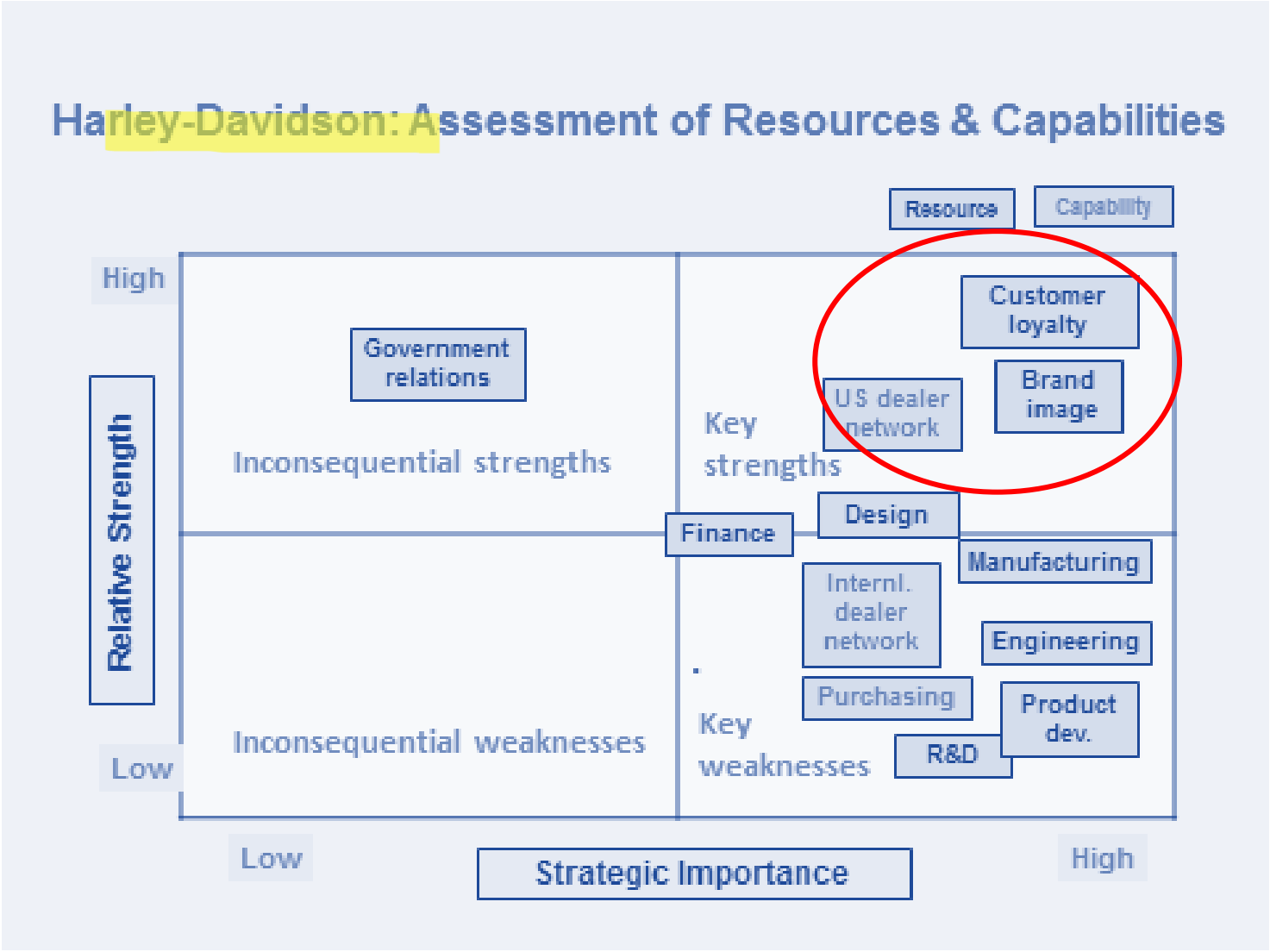
Motorcycle industry

Key Resources Industry	Key Capabilities Industry
▪ PLANTS ▪ SKILLED EMPLOYEES ▪ BRAND ▪ CUSTOMER LOYALTY ▪ DEALERS NETWORK	▪ Production → Purchasing, Supply Chain, Manufacturing. ▪ Technology ▪ Marketing ▪ Design ▪ Customer Service

Resource / Capability	Harley	Honda
Technology	• R&D **Budget <$0,2 bn**. • Only selective application of modern automotive technology	• R&D **Budget $ 6,5 bn**. Able to spread its investment over motorcycles • Leader in automotive technology • Biggest patent portfolio (in automotive)
Design	• Strong understanding of its segment • Traditional design concepts • Leader in customization	• History of innovative designs in motorcycles • *Quick to imitate* competitors (Harley V-twin)
Purchasing	• 300,000 units offer limited bargaining power • Close supplier collaboration	• Global Purchasing for +10M motorcycles Huge bargaining power
Manufacture	• Sound quality management • JIT & Team production capabilities. But 300K units limit automation & economies of scale • Production fragmented over geographically disperse plants	• Economies of scale • A world leader in high volume vehicles production • Plants annual capacity > 1m. units • Advanced automation
Distribution	• Very strong dealers network in USA • Elsewhere patchy • Excellent in managing dealer relations	• Worldwide dealer network
Brand	• Unrivalled image in heavyweight bikes • Brand linked to a tradition, a philosophy, and a way of life • Brand reputation supported by promotional events & direct customer contact	• Strong reputation for quality, performance, reliability & value for money • Brand reputation based on functionality of products • Economies of scope in using a single Brand across a wide product range
Customer Service	• HOG (Harley Owners group) allows direct linkage with customers	• Almost entirely through dealers
Customer Loyalty	• Unrivalled customer dedication and Loyalty	• Mainly based on product satisfaction

What are HD's strengths and weaknesses?

in terms of its Resources and Capabilities



Evaluating the strategic importance of resources and capabilities

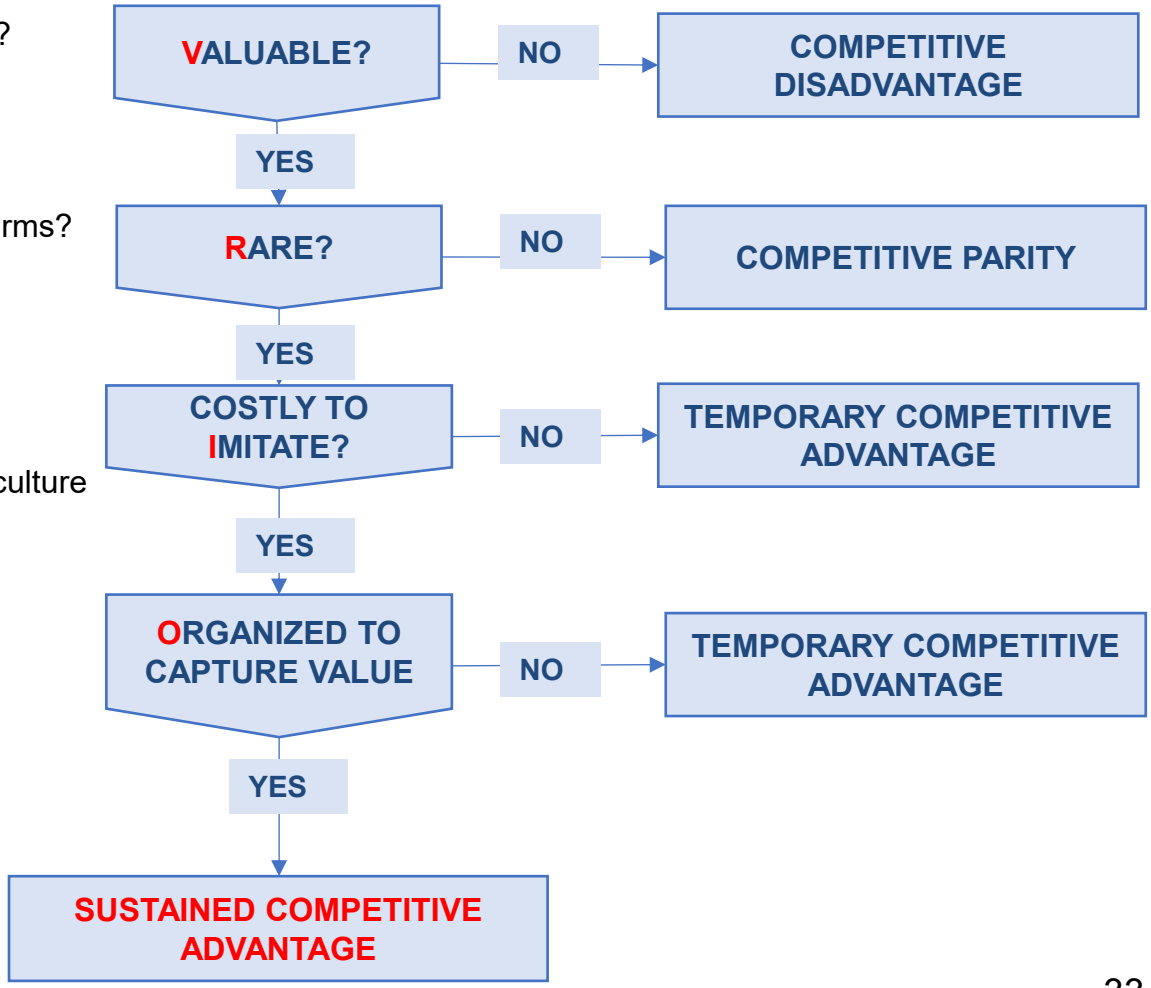
VRIO Framework (Barney, 1990)

- Is the resource valuable to exploit opportunities?
- Increases the perceived customer value?

- Can resources only be acquired by one or few firms?

- Hard to imitate:
  - Developed over a long period of time?
  - Causal ambiguity
  - Social complexity, embedded in company culture

- Management systems, processes, policies, organizational structure & culture



HD's Resources and Capabilities with the VRIO framework

Resources and capabilities	VALUABLE? V	RARE? R	IMITATE? I	ORGANIZED? (to capture value) O
technology	medium	medium	low	low
brand	high	high	high	high
management of distribution	medium	medium	medium	high
management of customers	high	high	high	high

HD's key strengths (1/2)

1. Brand and brand management

- Probably the most valuable, inimitable and unique resource of the company:
  - It represents traditional American values such as freedom, adventure and individuality
  - It represents a lifestyle and experience more than a product
  - Central to the company's overall strategy

2. Customer relationship management

- **Harley Owners' Group**
  - International network - fostering a sense of community
  - Participation of HD managers and employees
  - Organization of rallies, shows, social and charity events, trading and collection of used parts and accessories

HD's key strengths (2/2)

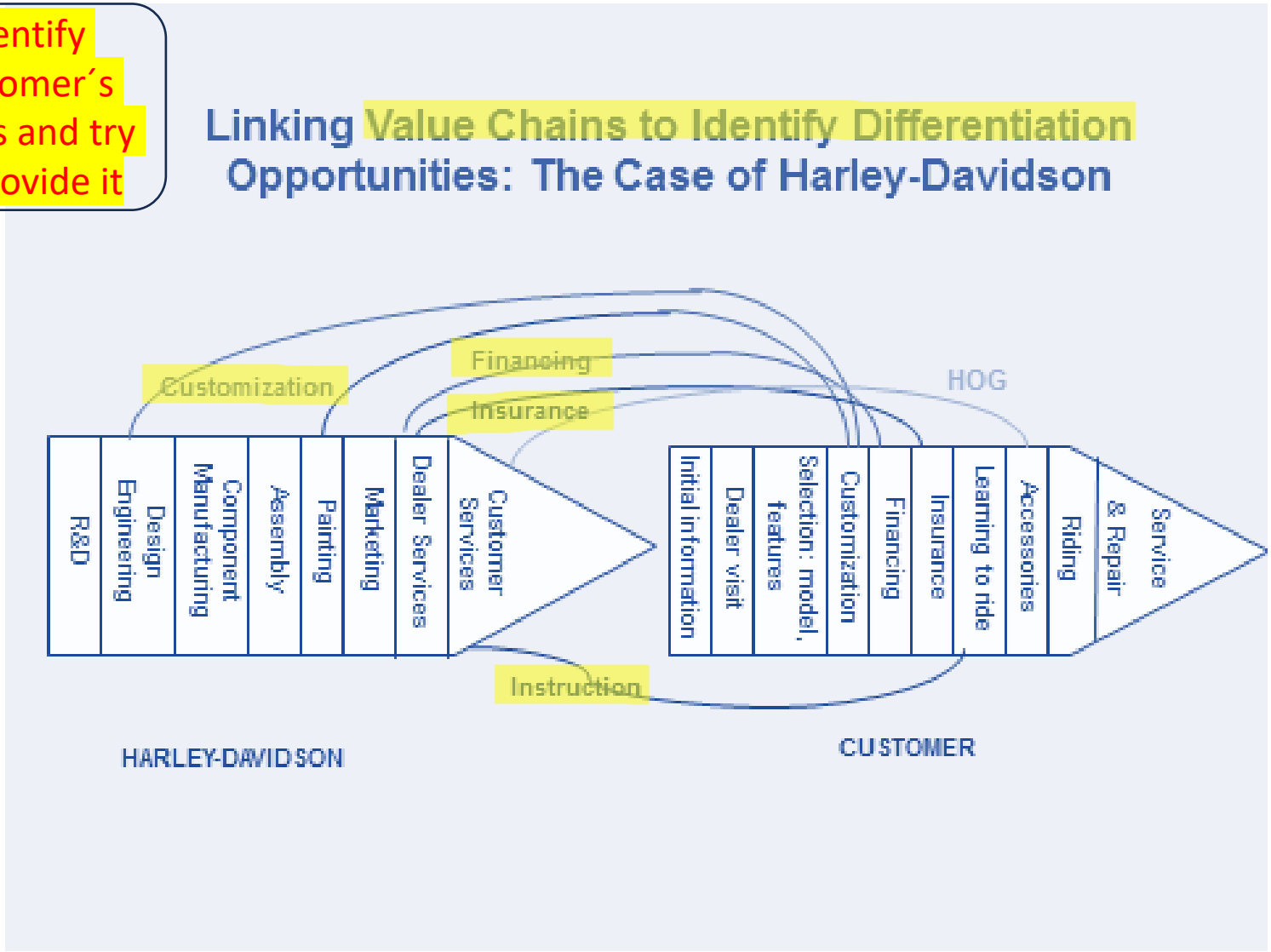
3. Distribution management

- Exclusive for Harley, unlike competitors
- High standard pre-sale and post-sale service:
  - Test ride facilities
  - Consulting for customization, financing and insurance
  - Riding classes
  - Full line of replacement parts and accessori
  - Repair services
  - Holiday packages and rentals
- Continually improved:
  - Retail Environments Group
  - Harley University for training



How to build a differentiation advantage?

Identify customer´s needs and try to provide it



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Potential threats (1/3)

- The economy
  - All of HD's major market (US, Canada, Europe, and Japan) face an economic outlook in which consumer discretionary expenditure is likely to be constrained for many years
  - Harley motorcycles = Expensive leisure item
  - Less sales, when customers have less to spend
- Demography
  - Average customer age of 50 years old: Harley's customer demographic is much older than for the average motorcycle brand
  - Problem: This demographic group (until recently swelled by the baby-boom generation) is in declining
  - But 'older' people might start to use motor cycles
- Excess capacity
  - Harley increased its capacity over the past two decades from 50,000 to 400,000 bikes a year
  - A capacity that exceeds demand has several problems for Harley:
    - higher fixed cost base
    - a shortage of new Harleys helped maintain the second hand value of Harleys
    - the ubiquity of Harley bikes undermines the image of exclusivity

Potential threats (2/3)

- The appeal of the Harley image
  - Preferences for lifestyle may change
  - Will the macho, individualistic, leather-clad biker image be as popular in the decade of the 2010-2019 as in 1990-1999?
- Competition in core market
  - Honda and the big motorcycle companies, all of which produce Harley-style V-twin cruisers but typically with more advanced technologies and lower prices
  - Small producers (Excelsior, Polaris, Enfield, and Indian) producing retro-style bikes
- Competition in other markets
  - Competition may come not just from other motorcycles but from other costly 'toys' (boats, other outdoor sports, and, ultimately, a wide range of leisure pursuits)
  - Competition also from:
    - Stylish, high-performance sports bikes (e.g., Ducati, MotoGuzzi, Suzuki, Triumph, Aprilia, and Kawasaki)
    - Smooth-riding, highly engineered touring bikes sold by Honda and BMW

Potential threats (3/3)

- The international market
  - Appeal outside US may differ from the national market (Less nostalgia, about the style style and values that HD motorcycles represent)
  - How far Harley should adapt its products, its image, and dealership strategies to national markets?
  - Does Harley really understand its overseas markets?
- Entrapment in a narrow niche market
  - To what extent is Harley trapped within a narrow niche market (the US market for retro-look super-heavyweight motorcycles)
  - Whenever Harley tried to expand outside its core market – either overseas or into smaller bikes – it had limited success
  - Growth prospects within its core market are limited

Key take-away

- **How a company can establish competitive advantage against bigger, better-resourced rivals**
  - Exploit a few critical resource strengths (namely, the Harley image and reputation)
  - Protect against resource weaknesses (small scale, lack of technology, lack of global distribution)
- **The importance of an integrated strategy**
  - A key feature of Harley's strategy:
    - Integrate its product design, manufacturing, marketing, distribution, and customer support policies to exploit and project the unique Harley image

Next session….

COMPETITIVE ADVANTAGE

Any characteristic of an organization that makes it different from the others, placing it in a superior competitive position

Thanks a lot!

Any questions?

rlp@faculty.ie.edu

brand management



1960s



2010s